

Mastering Cash Flow Statement : Your Ultimate Guide to Accurate Financial Reporting

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Mastering Cash Flow Statement : Your Ultimate Guide to Accurate Financial Reporting — Part 1

Financial statements are important documents that should give a clear picture of any business organization's financial status. These are important in the preparation of investment decisions by investors, credit decisions by the creditors, management decisions by the management and decisions by other stakeholders. The major parts of the financial statements comprise Balance Sheet (BS), Income Statement (IS), Cash Flow Statement (CF), and Statement of Shareholders' Equity. The following are the main elements and each of them has its own function and when combined they provide a full view of a business. A cash flow is one of the most important part of financial statements that a company provides to its users because it presents the company's liquidity and its overall financial position.

We perceive that the balance sheet and the income statement are informative, but none of them are as accurate in their depiction of the flow of fiscal transactions as the cash flow statement. For this reason, a cash flow statement and its preparation should be understood well in order to maximize the chances of a business in investing activities and operating activities. In this article, we'll step you through the process whereby you will be able to prepare an accurate and meaningful cash flow statement use indirect method which as highlighted above gives you the financial direction of your business. No matter you are an entrepreneur, an accountant, or a financial analyst, this guide will enable you to prepare the cash flows statement in more understandable way, to present your financial reports that are both solid and engaging. This article aims to demonstrate how to prepare a cash flow statement using the indirect method based on income statements, changes in capital, and increases and decreases from each account on the balance sheet. This article is also expected to provide an overview of the relationship between the profit and loss report, equity changes report, balance sheet, and cash flow statement which are part of the financial report. The discussion in this article will be structured as follows.

Financial statement overview Increase and decrease on balance sheet items Income statement and changes in equity Put it together into cash flow statement Financial Statements

Overview This tutorial will use a set of financial reports published on the internet and Microsoft Excel as tools in preparing cash flow statement. The Un****er's 2022 consolidated financial statements is used as a learning object on how to prepare a cash flow statement using the indirect method. Preparing a cash flow report using the indirect method requires an understanding of the relationship between the balance sheet, profit and loss and changes in equity. If you interested to read the financial statements, it is available on [this link](#), and you will find financial statements in Excel spreadsheet file. It consists of balance sheet, income statement, changes in equity, cash flow and also notes to the financial statement. For this learning purpose please ignore the existing cash flow statement on that file, because we will try to preparing it from the income statement, balance sheet, and changes in equity. Flashback to the first time worked at public accountant office in 2005, I have involved in several audit works for different business sectors and experienced in preparing financial statements. While preparing the statements, we always double check consistency of related items between statements. we make some check points as an indicator to make sure that the statements are already consistent. After read the financial statements and their interrelationships, and apply checking mechanism as previously mentioned, we found something interesting fact, that the balance of cash and cash equivalents at the end of the year is not consistent between balance sheet and cash flow statement. The changes in cash and equivalent is not consistent also. This error for some accountant may be seem not so significant for the

readers, but this condition can be confusing, how to determine the actual cash balance, whether in the balance sheet or in the cash flow. Increase and decrease on balance sheet items

The indirect method of preparation of cash flow statement begins with the net income at the top of the statement and then adjusts it with the changes in balance sheet accounts to get over from accrual accounting to cash accounting. The first step is to add all those non-cash expense to the net income that has been excluded, expenses such as depreciation and amortization expenses, which though they have been deducted in arriving at the net income were not actual cash outgoings. Next, there is an adjustment for the changes in the working capital sub-accounts including accounts receivable, inventories, and accounts payable. For example, an increase in accounts receivable is subtracted because even though it contains money that a business expects to collect from its customers, this has not been realized as cash, an increase in accounts payable is added because it shows that a business owes money to its' suppliers but has not paid this figure in cash yet. This indicates the net operating cash provided or used which is derived as follows; This method is common because it establishes relationship between the cash flow statement and the income statement as well as balance sheet so as to facilitate comprehension of the effect of operating activities of cash flow. That method requires to calculate increase and decrease of all of the balance sheet elements to be used as correction to the net income to reveal the actual cash inflow and outflow from operation, and also to calculate the cash flow from investing activity and financing activity. The balance sheet we have is already presented comparatively for year 2021 and 2022. Hence, The first step in preparing cash flow statement is to calculate the increase decrease in balance sheet items. The increasing current asset other than cash and equivalent are deduction for the the net income as adjustment for non-cash transaction, for example increase in account receivable indicate that there are a part of the company's sales that does not generate cash inflow. On the other hand, an increase in current liabilities indicates that there are expenses that have not yet become cash expenditures, so they need to be added to net income. To make calculations easier, we create a difference column in the balance sheet. The difference in liabilities is calculated by subtracting the balance for 2022 from 2021, so that the increase will have a positive value and the decrease will have a negative value. Meanwhile, assets are calculated in the opposite way. We also mark each changing in balance sheet item as operating, investing, and financing activity. When prepare the cash flow statement you need to remember the basic equation $\text{Asset} = \text{Liabilities} + \text{Equity}$, also for the changes. So, We could calculate changes in cash and equivalent is calculated from total changes in liabilities and equity minus total assets except cash and equivalent. That columns will be used to help ensure that increases and decreases on the balance sheet have been included in the preparation of the cash flow statement. Income statement and changes in equity Increase and decrease of equity in the balance sheet are explained more detail in the statement of change in equity. One of the item that change the equity is net income, also check that net income that stated is consistent with the income statement. Put it together into cash flow statement We prepare a cash flow statement by entering each of the difference in the balance sheet in sequentially manner from equity to assets, so it will be easier to ensure that all of the required items are entered correctly. One by one, each changes in liabilities and equity have been entered into operating, investing and financing activity section in the cashflow statement. It could be check by sum all item and comparing the total with the total changes in liabilities and equity. It could be seen in the Figure 5 below. we need to look at the notes on property, land and equipment because they are presented as in net value on the balance sheet, in these notes you can get the details and then separate the difference in historical cost of the assets and the difference in accumulated depreciation. Separating what goes into operating and investment activities from the details of changes in assets and accumulated depreciation will actually be quite complicated, but in this section we will just simplify it that we enter all changes in accumulated depreciation on assets as operating activities in the cash flow

statement. Another account on the balance sheet that we must look at in detail in the notes is assets held for sale, because it includes both current assets and non-current assets that are classified as held for sale. After calculating the increase and decrease in these details and determining the activity category, then enter it into the cash flow report and ensure the total value equal with the change in the assets held for sale account on the balance sheet. After all changes in the balance sheet accounts other than cash and cash equivalents have been entered into the cash flow report, we can easily get the value of changes in cash and cash equivalents according to the increase or decrease in the balance sheet, this can be checked in the control column that we have added to the balance sheet. The preparation of the cash flow statement using the indirect method has been completed, checking could be carried out to ensure its consistency with the balance sheet. As can be seen in Figure 9, the cash balance at the end of the period in the cash flow statement has been consistent with the balance sheet. The preparation of cash flow in this article does not take into account all the details in the notes of financial report, so it is still possible that there may be errors in the categorization of activities. Considering that there are many details that must be considered to make the results closer to the results of the direct method, and that will be discussed in the next part of this article. The excel file that used in this tutorial is available to download from drive, please click [here](#) to get that file.

Conclusion In conclusion, preparing a cash flow statement using the indirect method is easy, the steps are clear and easy to do by understanding the increases and decreases in non-cash assets, liabilities and equity on the balance sheet and their's relationship with the cash flow. It offers a summary of a company's operating activities and its effects on cash flow. The indirect method of conversion of net income to operating cash flow is simple and effective because it begins with net income and incorporates the simplification that was made for non- cash items and change in working capital. However, this method is very easy to implement and it does not allow user to get a clear picture of individual activities that either generate cash or consume it. As for those who have a finer detail into the solution, the next article continues to identify how to classify the items in the indirect cash flow statement, making it even nearer to the direct method of preparing cash flow statement. Thank you for taking the time to read my article, I hope it is useful and please follow my account to get other interesting articles